

out of the company he had founded. He moved on in 1990 to Guinness Peat Group, a listed corporate shell he salvaged from the crash of another corporate raider. He was chairman of Guinness Peat until he stepped down in late 2010, although he remains on the board as a non-executive director. At 76 he continues to dig for hidden value and agitate through Australian Stock Exchange-listed Mercantile Investment Company.

## CONTRARIAN VALUE

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Brierley's *modus operandi* was to find stocks with a business at a trough, with a valuation to match. From his investment in Otago Farmers, to his bet on Southern Cross, to his entry into the Australian food and agricultural industry and his run at Equity and Law, each was an investment in an undervalued stock at a fundamental nadir, made with the expectation that business conditions would improve and the valuation would mean revert as well. Benjamin Graham taught that value investing is investing on the anticipation that the market price can depart from intrinsic value in the short term, but will revert to it over the long term. Graham's deeper lesson was that value oscillates, too. We err when we examine a stock's financial statements to analyze its fundamental performance and assume that the trend will persist. Graham's view, rediscovered by behavioral finance researchers De Bondt and Thaler, and confirmed by Lakonishok, Shleifer, and Vishny, is that this impulse to naïvely extrapolate leads us to systematically overpay for glamour stocks—*good* companies at expensive valuations—and avoid value stocks—*poor* companies at low valuations. The so-called *contrarian investor* approaches the problem anticipating mean reversion in both fundamentals and valuation. Does such a strategy lead to outperformance over a simple value investment strategy that examines only valuation?

Lakonishok, Shleifer, and Vishny have examined this contrarian value strategy, analyzing the returns to stocks purchased on the basis that they have both poor historical fundamentals and a low valuation, implying an expectation for continued poor performance. They find that the contrarian value strategy does in fact outperform the simpler value strategy we examined earlier that invests only on the basis of an analysis that examines whether the security is undervalued without consideration given to the business's historical performance. Lakonishok, Shleifer, and Vishny tested the *contrarian value investment* strategy by examining the universe of stocks according to two variables—historical performance and expected future performance—and then dividing the universe into three portfolios—the bottom 30 percent, the middle 40 percent, and top 30 percent. The *Glamour* portfolios contained stocks with the highest historical growth—which Lakonishok defined